II Very short answer questions

1. What is goodwill?
2. What is acquired goodwill?
3. What is super profit?
4 What is normal rate of return?
5 State any two circumstances under which goodwill of a partnership firm is valued.

III Short answer questions

1. State any six factors determining goodwill.
2. How is goodwill calculated under the super profits method?
3. How is the value of goodwill calculated under the capitalisation method?
4. Compute average profit from the following information.

   2016: ₹ 8,000; 2017: ₹ 10,000; 2018: ₹ 9,000

(Answer: Average profit: ₹ 9,000)

5. Calculate the value of goodwill at 2 years purchase of average profit when average profit is ₹ 15,000.

(Answer: Goodwill: ₹ 30,000)

IV Exercises

Simple average profit method

1. The following are the profits of a firm in the last five years:

2014: ₹ 10,000; 2015: ₹ 11,000; 2016: ₹ 12,000; 2017: ₹ 13,000 and 2018: ₹ 14,000

Calculate the value of goodwill at 2 years purchase of average profit of five years.

(Answer: Average profit: ₹ 12,000; Goodwill: ₹ 24,000)

2. From the following information, calculate the value of goodwill on the basis of 3 years purchase of average profits of last four years.

Year	Result	Amount ₹
2015	Profit	5,000
2016	Profit	8,000
2017	Loss	3,000
2018	Profit	6,000

(Answer: Average profit: ₹ 4,000 ; Goodwill: ₹ 12,000)

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